

Notes: Bebchuk, Cohen, and Ferrell (RFS, 2009)

What Matters in Corporate Governance?

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1 Big picture

- **Research question.** Which corporate governance provisions actually matter for firm value and stock returns? The paper looks inside the twenty-four IRRC provisions used in the Gompers, Ishii, and Metrick governance index and asks whether all provisions matter or whether only a small subset drives the results.
- **Main idea.** A broad governance index may mix important entrenchment provisions with many relatively irrelevant provisions. If the index is too broad, it may measure governance with noise. The paper proposes a smaller **entrenchment index**, or **E index**, based on six provisions that most directly insulate managers from shareholder discipline.
- **Core E-index provisions.** The six provisions are staggered boards, limits to shareholder bylaw amendments, limits to charter amendments, supermajority requirements for mergers, poison pills, and golden parachutes.
- **Comparison index.** The remaining eighteen IRRC provisions form the **other provisions index**, or **O index**. The paper asks whether the E index or the O index explains the relation between governance and performance.
- **Main finding.** Higher E-index scores are monotonically associated with lower Tobin's Q and with lower abnormal stock returns during 1990–2003. The O index does not display comparable explanatory power once the E index is taken into account.
- **Economic interpretation.** The provisions that matter are the ones that most directly entrench incumbents by weakening shareholder voting power or preparing management for takeover resistance. The results support the view that governance quality is driven by a few core provisions rather than by a large checklist.
- **Policy takeaway.** “Kitchen-sink” governance ratings can be misleading. A small set of high-impact provisions may be more informative than a broad index that counts many provisions equally.

2 Incremental contribution of the paper

- **From broad index to specific provisions.** Prior work shows that the GIM index is correlated with Tobin's Q and stock returns. This paper identifies which provisions are responsible for that relation.
- **The E index.** The paper introduces a focused six-provision index that becomes widely used as a governance measure in later corporate finance research.
- **Explicit horse race.** The authors compare the E index against the O index and against individual provisions, rather than merely showing that governance in aggregate is correlated with performance.
- **Shareholder-opposition motivation.** The six provisions are chosen because they attracted systematic opposition from institutional investors in precatory resolutions, giving the index an economically motivated starting point.

- **Valuation and return evidence.** The paper studies both firm value, measured with industry-adjusted Tobin’s Q , and long-short abnormal returns, showing that the same subset of provisions matters in both settings.
- **Noise critique.** The paper shows why adding many weak provisions to a governance index can dilute the signal and reduce interpretability.

3 Data and measurement

3.1 IRRC governance provisions

The starting point is the universe of twenty-four governance provisions tracked by the Investor Responsibility Research Center (IRRC). These are the same provisions used in the Gompers, Ishii, and Metrick governance index.

- The IRRC published governance volumes in 1990, 1993, 1995, 1998, 2000, and 2002.
- Each volume covers roughly 1,400–1,800 firms, including all S&P 500 firms and other large firms of interest to institutional investors.
- The firms in a given IRRC volume account for more than 90% of U.S. stock market capitalization.
- Governance provisions are assumed to remain in place from one IRRC publication until the next publication, following the approach used in the GIM paper.

3.2 The E index

For each firm-year, the E index is the number of the six entrenching provisions the firm has:

$$E_{it} = \sum_{k=1}^6 \mathbf{1}\{\text{entrenching provision } k \text{ is present at firm } i \text{ in year } t\}.$$

The score ranges from 0 to 6. A higher score means stronger managerial entrenchment and weaker shareholder power.

3.3 The O index

The O index counts the remaining eighteen IRRC provisions:

$$O_{it} = GIM_{it} - E_{it}.$$

The O index is used as a control and as a comparison object. If the E index is truly the relevant governance component, then the O index should add little explanatory power after conditioning on E.

3.4 Firm value and return data

- **Firm value.** The main valuation outcome is industry-adjusted Tobin’s Q , defined using Compustat data and adjusted by the median Q in the firm’s two-digit SIC industry.
- **Returns.** Monthly stock returns come from CRSP. The abnormal-return tests use Fama-French factors and a Carhart momentum factor.
- **Controls.** The valuation regressions include size, firm age, Delaware incorporation, insider ownership, ROA, capital expenditures, leverage, R&D intensity, year effects, and in some specifications firm fixed effects.
- **Sample exclusions.** The paper excludes dual-class firms and REITs because those firms have special governance structures that could dominate the IRRC provisions.

4 Methodology and empirical specifications

4.1 Selecting the six provisions

The paper does not select the E-index provisions purely by data mining. It begins from a hypothesis based on institutional evidence and legal-economic reasoning.

- Institutional investors frequently opposed classified boards, poison pills, golden parachutes, and supermajority provisions.
- The authors also analyze the legal and economic consequences of each candidate provision and interview leading M&A lawyers.
- The six selected provisions either directly limit shareholder voting power or serve as major takeover-readiness devices.

4.2 Valuation regressions

The baseline valuation specification relates industry-adjusted Tobin’s Q to the E index, the O index, and firm controls:

$$\log(Q_{it}^{\text{ind-adj}}) = \alpha + \beta E_{it} + \theta O_{it} + \Gamma' X_{it} + \lambda_t + \varepsilon_{it}.$$

Alternative specifications replace the linear E-index score with dummy variables for E-index levels 1, 2, 3, 4, and 5–6. Other specifications add firm fixed effects:

$$\log(Q_{it}^{\text{ind-adj}}) = \alpha_i + \beta E_{it} + \theta O_{it} + \Gamma' X_{it} + \lambda_t + \varepsilon_{it}.$$

Interpretation: $\beta < 0$ means more entrenchment is associated with lower firm valuation.

4.3 Individual provision tests

To determine whether all six E-index provisions matter, the paper runs regressions that include each provision separately while controlling for the rest of the governance provisions. It performs the same exercise for the eighteen O-index provisions.

This is important because the E index could matter only because one provision, such as staggered boards, dominates the result. The tests show that each E-index provision is negatively associated with firm value, while the O-index provisions do not show the same pattern.

4.4 Causality-oriented valuation tests

The paper does not claim a clean randomized experiment. Instead, it offers tests designed to address some reverse-causality concerns.

- It uses firms' 1990 E-index scores to explain firm value during 1998–2002.
- It controls for 1990 Tobin's Q to test whether the relation is just a continuation of already-low valuation.
- It uses firm fixed effects to test whether within-firm increases in entrenchment are associated with within-firm decreases in value.

These tests are consistent with entrenchment affecting or helping maintain low valuation, but they do not fully establish causality.

4.5 Stock-return tests

The return tests construct long-short portfolios. The long leg contains firms with low E-index scores, and the short leg contains firms with high E-index scores. The abnormal return is the intercept a in a four-factor regression:

$$Diff_t = a + b_1MKT_t + b_2HML_t + b_3SMB_t + b_4Momentum_t + e_t.$$

The paper estimates returns for 1990–1999 and 1990–2003, using equal-weighted and value-weighted portfolios. It also calculates industry-adjusted and O-bucket-adjusted abnormal returns.

5 Identification and interpretation

5.1 What the paper can identify

The paper identifies which provisions in the IRRC/GIM universe are most strongly associated with valuation and returns. The evidence is strongest as a systematic decomposition of the GIM index into an economically meaningful subset and a residual set.

5.2 Endogeneity concern

A major concern is that low-value firms may adopt entrenching provisions rather than entrenching provisions causing low value. The paper's 1990 E-index tests and firm fixed effects help address this concern, but they do not eliminate it.

5.3 Return interpretation

The return evidence should not be read as proof of market inefficiency. Abnormal returns could reflect learning about governance, omitted risk factors, or other mechanisms. For the paper's purpose, the key result is that the E-index provisions, not the O-index provisions, drive the return pattern.

5.4 Why the O index matters less

Many O-index provisions may be weak, redundant, or irrelevant to the real allocation of power between shareholders and managers. Adding them to an index can create noise even if a few are occasionally associated with outcomes.

5.5 Interpretation of the E index

The E index is not a structural measure of all governance quality. It is a compact reduced-form measure of managerial entrenchment based on six provisions that appear particularly important for shareholder power and takeover discipline.

6 Tables and figures

6.1 Table 1: Incidence of corporate governance provisions

Read:

- Table 1 reports the incidence of all twenty-four IRRC provisions over the IRRC publication years.
- Staggered boards, poison pills, and golden parachutes are common among E-index provisions.
- Golden parachutes increase substantially over time, from about 53% in 1990 to about 70% in 2002.
- Limits to charter amendments are rare, staying near 3%.
- The O-index provisions are heterogeneous: some, such as no secret ballot and business combination laws, are very common, while others are rare.

Economic message: The raw governance landscape is broad and uneven. The six E-index provisions are not simply obscure clauses; several are widespread and economically salient.

6.2 Tables 2 and 3: E-index and O-index distributions

Read Table 2:

- Table 2 shows the distribution of E-index scores from 0 to 6.
- Roughly half of firms have E-index scores below 3 and roughly half have scores of 3 or more.
- Firms with $E = 0$ become less common over time, falling from 13.0% in 1990 to 7.3% in 2002.

- Very high scores of 5 or 6 are relatively rare but form the worst-entrenchment portfolio in the return tests.

Read Table 3:

- Table 3 reports the distribution of the O index.
- The O index ranges more widely because it contains eighteen provisions.
- The paper argues that the O index has much more mechanical overlap with the original GIM index, but less connection to the outcomes of interest.

Economic message: The E and O indexes are related to the GIM index but conceptually different. The E index isolates the provisions most likely to affect managerial entrenchment.

Table 1
Incidence of corporate governance provisions

	Year					
	1990	1993	1995	1998	2000	2002
Entrenchment index provisions						
Staggered board	59.2%	60.5%	61.8%	59.5%	60.5%	61.9%
Limits to amend bylaws	14.5%	16.2%	16.1%	18.2%	20.0%	23.2%
Limits to amend charter	3.3%	3.4%	3.1%	3.0%	3.3%	2.5%
Supermajority	39.0%	39.5%	38.4%	34.1%	34.1%	32.3%
Golden parachutes	53.3%	55.7%	55.2%	56.9%	67.4%	70.2%
Poison pill	54.4%	57.6%	56.6%	55.4%	59.9%	59.0%
All other provisions						
Limits to special meeting	24.8%	30.0%	32.0%	34.8%	38.3%	50.2%
Limits to written consent	24.8%	29.3%	32.1%	33.3%	36.2%	46.4%
No cumulative vote	81.6%	83.6%	85.0%	87.8%	89.0%	90.4%
No secret ballot	97.1%	90.5%	87.8%	90.4%	89.1%	88.8%
Director indemnification	40.8%	39.5%	38.5%	24.5%	23.6%	19.1%
Director indemnification contracts	16.6%	15.2%	12.6%	11.2%	9.1%	8.1%
Director liability	72.7%	69.2%	65.5%	47.2%	43.1%	33.9%
Compensation plans	45.3%	66.1%	72.8%	63.2%	72.6%	74.0%
Severance agreements	13.1%	5.5%	10.2%	11.2%	9.2%	6.1%
Unequal vote	2.4%	2.0%	1.9%	1.7%	1.5%	1.6%
Blank check	76.7%	80.1%	85.9%	88.0%	89.4%	90.8%
Fair price	58.0%	59.1%	57.6%	49.4%	48.5%	44.0%
Cash-out law	4.1%	3.7%	3.6%	3.1%	2.7%	2.5%
Director duties	10.4%	11.1%	10.9%	9.9%	10.2%	10.8%
Business combination law	84.1%	87.5%	87.4%	88.4%	89.0%	89.1%
Antitakeover mail	19.7%	20.8%	20.1%	17.1%	15.8%	15.0%
Pension parachutes	4.0%	5.3%	4.0%	2.2%	1.5%	1.0%
Silver parachutes	4.1%	4.9%	3.5%	2.4%	2.0%	1.7%

Table 1: Incidence of corporate governance provisions.

Table 2
Incidence of the entrenchment index

Entrenchment index	1990	1993	1995	1998	2000	2002
0	13.0%	11.0%	11.0%	10.7%	7.9%	7.3%
1	18.2%	17.3%	17.6%	19.0%	18.0%	15.4%
2	24.3%	25.0%	25.4%	25.9%	24.0%	26.8%
3	25.4%	25.7%	25.3%	25.1%	27.6%	27.2%
4	14.7%	16.3%	16.7%	15.9%	18.2%	18.3%
5	3.7%	4.3%	3.8%	2.8%	3.8%	4.6%
6	0.7%	0.4%	0.2%	0.6%	0.5%	0.4%
	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%

Table 2: Incidence of the entrenchment index.

Table 3
Incidence of other provisions index

Index of other provisions	1990	1993	1995	1998	2000	2002	Average E index: year 1990	Average E index: year 2002
1	0.15%	0.00%	0.00%	0.00%	0.06%	0.00%	1.50	1.11
2	1.41%	0.68%	0.66%	0.71%	0.52%	0.55%	0.89	1.41
3	3.72%	3.68%	2.41%	3.12%	2.14%	1.64%	1.42	1.61
4	7.58%	6.38%	5.41%	10.88%	8.31%	7.71%	1.67	2.10
5	14.94%	12.91%	13.38%	17.82%	17.85%	15.79%	1.75	2.24
6	19.03%	17.87%	17.98%	17.24%	18.23%	21.86%	2.09	2.72
7	16.36%	16.97%	16.81%	16.53%	19.92%	22.16%	2.36	2.90
8	15.24%	17.49%	19.52%	14.88%	14.99%	13.60%	2.52	2.86
9	10.26%	12.01%	11.77%	9.59%	9.28%	8.50%	2.78	3.33
10	7.21%	6.76%	6.94%	5.71%	5.78%	5.04%	3.01	3.44
11	3.35%	4.28%	4.24%	2.71%	2.14%	2.37%	3.04	3.38
12	0.45%	0.75%	0.66%	0.65%	0.65%	0.49%	2.17	3.40
13	0.30%	0.23%	0.22%	0.18%	0.13%	0.30%	2.25	1.11
Average Total	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	2.24	2.49

Table 3: Incidence of the other provisions index.

Table 4
The entrenchment index and firm value

Variable	(1)	(2)	(3)	(4)
Entrenchment Index E	-0.044*** 0.004		-0.020*** 0.007	
Entrenchment Index 1		-0.092*** 0.023		-0.056** 0.022
Entrenchment Index 2		-0.146*** 0.022		-0.065*** 0.025
Entrenchment Index 3		-0.155*** 0.022		-0.077*** 0.029
Entrenchment Index 4		-0.206** 0.023		-0.104*** 0.031
Entrenchment Index 5-6		-0.282*** 0.027		-0.107*** 0.040
Other Provisions Index	0.010*** 0.003	0.010*** 0.003	0.002 0.006	0.002 0.006
Log(Assets)	0.015*** 0.004	0.015*** 0.004	-0.119*** 0.014	-0.118*** 0.014
Log(Company Age)	-0.048*** 0.008	-0.047*** 0.008	-0.026 0.031	-0.026 0.031
Delaware Incorporation	-0.03*** 0.01	-0.028*** 0.01	0.004 0.04	0.008 0.04
Insider Ownership	0.001 0.001	0.001 0.001	0.005*** 0.002	0.005** 0.002
Insider Ownership Square	-0.00003 0	-0.0003 0	-0.0001* 0	-0.0001* 0
ROA	0.008 0.009	0.008 0.009	0.019 0.015	0.019 0.015
CAPEX/Assets	0.994*** 0.089	1.00*** 0.09	0.868*** 0.120	0.869*** 0.120
Leverage	-0.544*** 0.046	-0.553*** 0.046	-0.426*** 0.047	-0.427*** 0.047
R&D per Sales	0.002** 0.001	0.001* 0.001	-0.001** 0.001	-0.001** 0.001
Year fixed effects	Yes	Yes	Yes	Yes
Firm fixed effects	No	No	Yes	Yes
Number of observations	8015	8015	8015	8015
R_squared	0.096	0.098	0.704	0.804

This table reports pooled OLS regressions of log(industry-adjusted Tobin's Q) on various controls and two specifications of the entrenchment index. Tobin's Q is the ratio of the market value of assets to the book value of assets, where the market value of assets is computed as book value of assets plus the market value of common stock less the sum of book value of common stock and balance sheet deferred taxes. Industry-adjusted Tobin's Q is equal to Tobin's Q minus the median Tobin's Q in the industry, where industry is defined by two-digit SIC Code. Entrenchment index i ($i = 1, 2, 3, 4$, and $5-6$) is equal to 1 if the firm has an entrenchment level i and 0 otherwise. The other provisions index is equal to the GIM index (Gompers, Ishii, and Metrick 2003) minus the entrenchment index. Insider Ownership is equal to the fraction of shares held by officers and directors. ROA is the ratio of net income to assets. CAPEX/assets is the ratio of capital expenditures to assets. R&D per Sales is the ratio of research and development expenditures to total sales. Leverage is the ratio of long-term debt plus debt due in one year to assets. Year dummies and a dummy for missing R&D data are included in all regressions, but their coefficients (as well as the constant) are omitted. Columns 1 and 2 provide OLS estimates, which are White (1980) robust, and columns 3 and 4 provide the results of regressions with fixed firm effects. Robust standard errors appear below the coefficient estimate. Significance levels are indicated by *, **, and *** for 10%, 5%, and 1% respectively.

Table 4: The entrenchment index and firm value.

6.3 Tables 4 and 5: E index, O index, and firm value

Read Table 4:

- The dependent variable is log industry-adjusted Tobin's Q .
- The coefficient on the E index is negative and statistically significant.
- When E-index levels are entered as dummies, the valuation discount becomes more negative as entrenchment rises.
- The results remain negative with firm fixed effects, meaning that within-firm changes in entrenchment are associated with lower firm value.
- The O index is not the main source of the negative valuation relation.

Read Table 5:

- Table 5 repeats the valuation tests using annual regressions and Fama-MacBeth averages.
- The E-index coefficient is negative in most annual specifications.
- The O-index coefficient is small and often positive.
- The annual evidence supports the view that the E-index relation is not driven by one pooled-regression artifact.

Economic message: Higher entrenchment is associated with lower valuation in a monotonic and economically meaningful way. The other eighteen provisions do not explain the main valuation pattern.

Table 5
The entrenchment index and firm value: annual regressions

Year	(1) Log (industry-adjusted Q)		(2) Log (industry-adjusted Q)		(3) Industry-adjusted Q	
	Mean regressions		Median regressions		Mean regressions	
	Entrenchment index	Other provisions index	Entrenchment index	Other provisions index	Entrenchment index	Other provisions index
1992	-0.011	0.003	-0.009	-0.001	-0.028	-0.002
	0.009	0.006	0.016	0.011	0.021	0.014
1993	-0.018*	-0.003	-0.022**	-0.007	-0.058**	-0.011
	0.011	0.007	0.010	0.006	0.027	0.016
1994	-0.018**	0.004	-0.037***	0.001	-0.052**	0.010
	0.009	0.006	0.010	0.007	0.020	0.014
1995	-0.016	0.013	-0.023	-0.005	-0.067**	0.008
	0.011	0.008	0.015	0.011	0.032	0.026
1996	-0.024**	0.011	-0.025*	-0.002	-0.074**	0.029
	0.01	0.007	0.015	0.011	0.029	0.025
1997	-0.014*	0.005	-0.029*	0.017	-0.058**	0.017
	0.008	0.007	0.016	0.011	0.027	0.022
1998	-0.064***	0.022**	-0.058***	0.000	-0.209***	0.066**
	0.014	0.009	0.021	0.014	0.053	0.033
1999	-0.068***	0.005	-0.062**	0.003	-0.327***	0.045
	0.015	0.01	0.016	0.011	0.077	0.054
2000	-0.03*	0.003	-0.066***	-0.003	-0.089**	-0.010
	0.013	0.009	0.020	0.014	0.041	0.028
2001	-0.017*	0.006	-0.024*	0.006	-0.044	0.016
	0.01	0.007	0.014	0.010	0.027	0.019
2002	-0.05***	0.015*	-0.057***	0.000	-0.119***	0.020
	0.013	0.007	0.014	0.009	0.028	0.015
Fama-McBeth	-0.03***	0.006**	-0.038***	0.001***	-0.102***	0.014***
	0.006	0.002	0.006	0.002	0.027	0.006

This table reports mean and median annual OLS regressions of log of industry-adjusted Q and industry-adjusted Q on the entrenchment index and various controls. The data, as in the previous table, consist of 8015 observations. Industry-adjusted Tobin's Q is defined in the same way as in Table 4. The independent variables are the same as in the regressions reported in Table 4, but the table reports only the coefficients of the E index and the O index. Fama-McBeth coefficients are calculated and reported in the last row. Columns 1 and 3 provide OLS estimates that are White (1980) robust, and column 2 provides the results of median regressions. Robust standard errors appear immediately below the coefficient estimate. Levels of significance are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Table 5: Annual regressions of E and O indexes on firm value.

6.4 Tables 6 and 7: Looking inside the two indexes

Read Table 6:

- Table 6 tests each of the six E-index provisions separately.
- Each E-index provision is negatively associated with Tobin's Q under the main specifications.
- The result is not only about staggered boards; takeover-readiness provisions and voting-power restrictions both matter.

Read Table 7:

- Table 7 performs analogous tests for the eighteen O-index provisions.
- The O-index provisions do not display a consistent negative relation with firm value.
- Some coefficients are positive, some are negative, and many are economically small or statistically weak.

Economic message: The paper's central decomposition works at the provision level. The six selected provisions look systematically different from the remaining eighteen.

Table 6
The entrenchment index provisions and firm value

	Staggered board	Golden parachutes	Limits to amend bylaws	Limits to amend charter	Supermajority	Poison pill
Coefficient in a regression with (i) the provision and (ii) the GIM index minus the provision	-0.035*** 0.011	-0.024** 0.012	-0.079*** 0.022	-0.048*** 0.01	-0.079*** 0.0101	-0.061*** 0.011
Coefficient in a regression with (i) the provision, (ii) the entrenchment index minus the provision, and (iii) the index of all other provision	-0.051*** 0.005	-0.037*** 0.005	-0.047*** 0.004	-0.044*** 0.004	-0.045*** 0.005	-0.042*** 0.005
Coefficient in a regression with (i) the provision, (ii) dummies for each of the other five provisions in the entrenchment index, and (iii) the index of all other provision	-0.026** 0.011	-0.025** 0.012	-0.067*** 0.021	-0.044*** 0.01	-0.07*** 0.011	-0.046*** 0.011
Coefficient in a regression with (i) the provision and (ii) dummies for each of the other twenty-three IIRC provision	-0.030*** 0.011	-0.026** 0.012	-0.068*** 0.022	-0.043*** 0.01	-0.071*** 0.011	-0.048*** 0.011

This table reports the results of twenty-four pooled OLS regressions of log(industry-adjusted Tobin's Q) on provisions in the entrenchment index and various controls. Each table consists of 8015 observations. Each column displays the results of four different regressions investigating a given provision, and it displays only the coefficient of the provision of interest in these four regressions. The independent variables other than governance provisions are the same as in the regressions of Table 4. OLS estimates are White (1980) robust. Robust standard errors appear immediately below the coefficient estimate. Levels of significance are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Table 6: Individual E-index provisions and firm value.

Table 7

In side the other provisions index

	Blank check	Limits to meetings	Limits to comment	Compensation plans	Director indemnification K	Director indemnification
Regression type (1)	0.02	0.025**	0.001	-0.005	0.031**	0.003
Regression type (2)	0.014	0.011	0.012	0.011	0.013	0.01
Regression type (3)	0.025*	0.031**	0.002	0.006	0.031**	-0.011
Regression type (4)	0.014	0.011	0.012	0.011	0.013	0.01
Regression type (1)	0.021	0.037**	-0.001	0.008	0.036**	-0.011
Regression type (2)	0.014	0.012	0.014	0.011	0.013	0.01
Regression type (3)	0.021	0.034**	-0.014	0.013	0.035**	-0.013
Regression type (4)	0.014	0.012	0.013	0.012	0.013	0.01
Regression type (1)	No secret ballot	Unequal vote	Antitakeover	Director duties	Fair price	Pension purchases
Regression type (2)	0.028*	-0.048	-0.008	-0.004	0.038**	-0.037*
Regression type (3)	0.014	0.032	0.013	0.015	0.012	0.021
Regression type (4)	0.034**	-0.04	-0.001	0.005	0.032**	-0.037*
Regression type (1)	0.014	0.032	0.012	0.015	0.012	0.021
Regression type (2)	0.032**	-0.03	-0.012	0.01	0.037*	-0.038*
Regression type (3)	0.015	0.033	0.013	0.015	0.012	0.021
Regression type (4)	0.035**	-0.035	-0.009	0.004	0.027**	-0.031
Regression type (1)	No cumulative vote	Director liability	Business combination	Silver purchases	Cash-out	Severance agreements
Regression type (2)	-0.017	0.003	0.021**	0.017	0.026	0.038**
Regression type (3)	0.013	0.011	0.016	0.021	0.029	0.020
Regression type (4)	-0.005	-0.013	0.024	0.015	-0.006	0.022
Regression type (1)	0.012	0.011	0.016	0.022	0.028	0.020
Regression type (2)	-0.007	-0.006	0.025	0.021	-0.003	0.021
Regression type (3)	0.013	0.011	0.017	0.022	0.03	0.020
Regression type (4)	-0.005	-0.004	0.026	0.019	0.001	0.01
Regression type (1)	0.012	0.011	0.017	0.022	0.013	0.021

This table reports the results of seventy-two pooled OLS regressions of log of industry-adjusted Tobin's Q on a given provision in the other provisions index and various controls. Industry-adjusted Tobin's Q is defined in the same way as in Table 4. Each table consists of 8015 observations. For each provision i , four types of regressions are run: (1) A regression in which the independent corporate governance variable are the provision i , and a variable equal to the GEM governance provisions index minus the provision i ; (2) A regression in which the independent corporate governance variables are the provision i , a variable equal to the other provision index minus the provision i , and the entrenchment index; (3) A regression in which the independent corporate governance variables are the provision i , dummies for each of the other seventeen provisions in the other provisions index, and the entrenchment index; and (4) A regression in which the independent corporate governance variables are the provision i and dummies for each of the other twenty-three IBRC provisions. The independent non-governance variables are the same as in the regressions reported in Table 4. We display only the coefficient on the provision i . OLS estimates are White (1980) robust. Robust standard errors appear immediately below the coefficient estimate. Levels of significance are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Table 7: Individual O-index provisions and firm value.

Table 8
The entrenchment index and firm value 1998–2002

Variable	(1)	(2)	(3)	(4)
Entrenchment Index E 90	-0.024*** 0.005		-0.017*** 0.005	
Entrenchment Index 1 90		-0.045 0.031		-0.036 0.03
Entrenchment Index 2 90		-0.073** 0.029		-0.075*** 0.027
Entrenchment Index 3 90		-0.071** 0.029		-0.054** 0.028
Entrenchment Index 4 90		-0.122*** 0.03		-0.092*** 0.028
Entrenchment Index 5–6 90		-0.105*** 0.039		-0.078** 0.036
Other Provisions Index	0.002 0.004	0.002 0.004	0.002 0.004	0.002 0.004
Log(Industry-Adjusted Q) 90			0.289*** 0.025	0.291*** 0.025
Log(Assets)	0.049*** 0.005	0.049 0.005	0.045*** 0.005	0.044*** 0.005
Log(Company Age)	-0.036** 0.017	-0.032* 0.017	-0.016 0.018	-0.01 0.017
Delaware Incorporation	-0.021 0.015	-0.02 0.015	-0.017 0.014	-0.015 0.014
Insider Ownership	-0.004* 0.003	0.005* 0.003	-0.003 0.002	-0.003 0.002
Insider Ownership Square	0 0	0 0	0 0	0 0
ROA	2.859*** 0.134	2.859*** 0.134	2.457*** 0.147	2.456*** 0.147
CAPEX/Assets	0.173*** 0.167	0.729*** 0.031	0.847*** 0.16	0.87*** 0.162
Leverage	-0.403*** 0.058	-0.405*** 0.058	-0.31*** 0.059	-0.312*** 0.059
R&D per Sales	1.218*** 0.242	1.28*** 0.242	0.909*** 0.242	0.934*** 0.242
Year fixed effects	Yes	Yes	Yes	Yes
Number of observations	2173	2173	2157	2157
R^2 squared	0.4833	0.4840	0.5219	0.5230

This table reports pooled OLS regressions of log(industry-adjusted Tobin's Q) for 1998–2002 on various controls and two specifications of the entrenchment index. The calculation of industry-adjusted Tobin's Q is described in Table 4. In addition to the controls used earlier in the Table 4 regressions, columns 1 and 3 control for firms' 1990 entrenchment index scores, while columns 2 and 4 control for the different levels of firms' 1990 entrenchment index scores. Moreover, columns 3 and 4 control for the log of firms' industry-adjusted Tobin's Q as of 1990. Year dummies and a dummy for missing R&D data are included in all regressions, but their coefficients (as well as the constant) are omitted. White (1980) robust standard errors appear below the coefficient estimate. Significance levels are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Table 8: E index in 1990 and firm value during 1998–2002.

6.5 Table 8: Timing, persistence, and reverse causality

Read:

- Table 8 uses firms' 1990 entrenchment levels to explain firm value in 1998–2002.
- The 1990 E index remains negatively related to later valuation.
- The relation remains when the regression controls for 1990 industry-adjusted Tobin's Q .
- This weakens the explanation that the results are entirely driven by low- Q firms choosing entrenching provisions.

Economic message: The table does not prove causality, but it shows that early entrenchment predicts later lower valuation even after controlling for early valuation.

6.6 Table 9 and Figures 1–2: Portfolio returns by entrenchment

Read Table 9:

- Average monthly stock returns decline monotonically as E-index scores rise.
- Equal-weighted portfolios move from 1.74% for $E = 0$ firms to 1.26% for $E = 5–6$ firms.
- Value-weighted portfolios move from 2.45% for $E = 0$ firms to 1.51% for $E = 5–6$ firms.

Read Figures 1–2:

- The figures plot abnormal returns from baseline long-short strategies.
- The largest abnormal returns come from going long $E = 0$ firms and short $E = 5-6$ firms.
- Abnormal returns shrink as the long and short portfolios include firms closer to the middle of the entrenchment distribution.

Economic message: The return evidence is consistent with the valuation evidence: the market performance gap is strongest when comparing the least entrenched firms with the most entrenched firms.

Table 9
Summary statistics on entrenchment index stock returns

Entrenchment index level	Equal-weight	Value-weight
Index 5–6	1.26%	1.51%
Index 4	1.40%	1.85%
Index 3	1.46%	1.93%
Index 2	1.59%	2.26%
Index 1	1.72%	2.33%
Index 0	1.74%	2.45%

This table documents the average monthly return of stocks of portfolios of stocks consisting of the same entrenchment index scores (0, 1, 2, 3, 4, or 5–6) for the period of September 1990–December 1999. Portfolios are constructed using equal weights of stocks and weighting positions in stocks by firms' common stock

Table 9: Summary statistics on E-index stock returns.

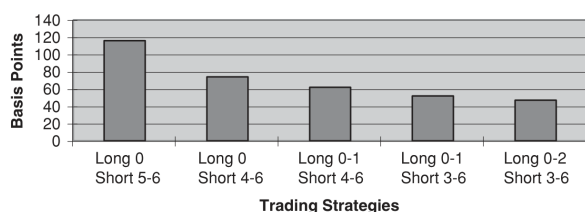


Figure 2
Monthly abnormal returns: baseline model, value-weighted portfolios.

Figure 2: Baseline abnormal returns, value-weighted portfolios.

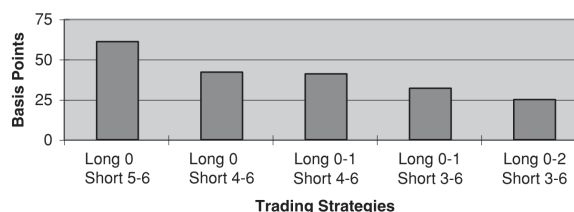


Figure 1
Monthly abnormal returns: baseline model, equally weighted portfolios.

Figure 1: Baseline abnormal returns, equally weighted portfolios.

Table 10
Monthly abnormal returns associated with different trading strategies: the 1990s

Long-short portfolio	Baseline model		Industry-adjusted		O-bucket-adjusted	
	Equal-weight	Value-weight	Equal-weight	Value-weight	Equal-weight	Value-weight
Index 0-Index 5-6	0.61*** (0.200)	1.16*** (0.280)	0.60*** (0.182)	1.01*** (0.301)	0.73*** (0.269)	1.16*** (0.298)
Index 0-Index 4-5-6	0.42*** (0.134)	0.74*** (0.191)	0.47*** (0.146)	0.82*** (0.196)	0.61*** (0.195)	0.89*** (0.210)
Index 0-1-Index 4-5-6	0.41*** (0.138)	0.62*** (0.153)	0.44*** (0.109)	0.62*** (0.154)	0.34** (0.141)	0.77*** (0.180)
Index 0-1-Index 3-4-5-6	0.32*** (0.106)	0.52*** (0.141)	0.34*** (0.088)	0.57*** (0.130)	0.28*** (0.107)	0.58*** (0.161)
Index 0-1-2-Index 3-4-5-6	0.25*** (0.079)	0.47*** (0.116)	0.26*** (0.067)	0.51*** (0.108)	0.23*** (0.071)	0.50*** (0.123)

This table documents the monthly abnormal returns, and their associated robust standard errors in parentheses, associated with different trading strategies for the period of September 1990–December 1999. The monthly abnormal returns were calculated using three different methods. In the baseline model, abnormal returns were calculated by regressing the return associated with a particular trading strategy on the three Fama-French factors (Fama and French 1993)—book-to-market stock effects, firm size stock effects, and market stock effects—and a momentum factor that was calculated using the procedures described in Carhart (1997). The trading strategies analyzed consist of going long a portfolio of stocks with a certain entrenchment index score and, simultaneously, shorting another portfolio of stocks with a higher entrenchment score. These long and short portfolios were adjusted when updated information on firms' corporate governance provisions became available: July 1993, July 1995, and February 1998. The long and short portfolios of stocks were constructed using equal weightings of each stock (equal-weight) and by weighting the holding of a stock in the portfolio by its common stock market capitalization (value-weight). With industry-adjusted returns, the monthly abnormal returns were calculated by first subtracting from each firm's monthly stock return the median industry return for the industry in which the firm operates. The Fama-French forty-eight industry classifications (Fama and French 1997) were used in classifying firms across industries. Monthly abnormal returns were then calculated by regressing the industry-adjusted returns associated with a trading strategy on the four Carhart (1997) factors used in the baseline model. Finally, with the O-bucket-adjusted returns, the long and short portfolios were constructed by first dividing all stocks into four buckets consisting of firms with O scores of 0–5, 6–7, 8–9, and 10–13. Then, the return on going long firms with a certain E score and short firms with a certain E score (either equally weighted or value-weighted) within each bucket was calculated with an overall long-short portfolio consisting of an equally weighted position in each of the four long and short positions created for the four O buckets. The O bucket-adjusted returns associated with a particular trading strategy were regressed, as always, on the four Carhart factors. Levels of significance are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Table 10: Monthly abnormal returns for the 1990s.

6.7 Tables 10 and 11: E-index long-short abnormal returns

Read Table 10:

- Table 10 reports abnormal returns for 1990–1999.
- Long low-E and short high-E strategies generate positive abnormal returns.
- The strongest strategy, long $E = 0$ and short $E = 5-6$, generates large and statistically significant abnormal returns.
- Results survive baseline four-factor, industry-adjusted, and O-bucket-adjusted approaches.

Read Table 11:

- Table 11 extends the return period to 1990–2003.

- The abnormal returns remain positive and statistically significant across the major strategies.
- Value-weighted returns are smaller than in the 1990s but remain economically large.

Economic message: The E index captures the return pattern associated with governance provisions. The relation is not explained away by industry or by the O-index distribution.

Table 11
Monthly abnormal returns associated with different trading strategies: 1990–2003

Long-short portfolios	Baseline model		Industry-adjusted		O-bucket-adjusted	
	Equal-weight	Value-weight	Equal-weight	Value-weight	Equal-weight	Value-weight
Index 0-Index 5-6	0.66*** (0.185)	0.84*** (0.224)	0.66*** (0.156)	0.94*** (0.230)	0.68*** (0.220)	0.84*** (0.240)
Index 0-Index 4-5-6	0.39*** (0.145)	0.57*** (0.186)	0.48*** (0.125)	0.67*** (0.185)	0.50*** (0.160)	0.60*** (0.200)
Index 0-1-Index 4-5-6	0.42*** (0.131)	0.52*** (0.157)	0.52*** (0.114)	0.53*** (0.151)	0.35*** (0.180)	0.58*** (0.179)
Index 0-1-Index 3-4-5-6	0.37*** (0.107)	0.41*** (0.132)	0.43*** (0.090)	0.46*** (0.125)	0.34*** (0.100)	0.41*** (0.144)
Index 0-1-2-Index 3-4-5-6	0.27*** (0.085)	0.37*** (0.117)	0.34*** (0.070)	0.39*** (0.110)	0.34*** (0.074)	0.38*** (0.121)

This table documents the monthly abnormal returns, and their associated robust standard errors in parentheses, associated with different trading strategies for the period of September 1990–December 2003. The abnormal returns were calculated in the same manner as in Table 10: the baseline model, industry-adjusted returns, and O bucket-adjusted returns. The long and short portfolios were adjusted when updated information on firms' corporate governance provisions became available: July 1993; July 1995; February 1998; November 1998 and February 2002. The long and short portfolios of stocks were constructed using equal weightings of each stock (equal-weight) and by weighting the holding of a stock in the portfolio by its common stock market capitalization (value-weight). Levels of significance are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Table 11: Monthly abnormal returns for 1990–2003.

Table 12
Monthly abnormal returns associated with different trading strategies controlling for entrenchment index distribution

Long-short portfolios	1990–1999		1990–2003	
	Equal-weight	Value-weight	Equal-weight	Value-weight
Index 0-5-Index 9-13	0.10 (0.162)	0.13 (0.180)	0.07 (0.133)	0.05 (0.146)
Index 0-5-Index 7-8	−0.024 (0.143)	0.08 (0.124)	0.03 (0.124)	0.17 (0.106)
Index 0-5-Index 6	−0.10 (0.148)	−0.01 (0.155)	−0.04 (0.136)	−0.05 (0.141)
Index 0-6-Index 7-13	0.10 (0.107)	0.02 (0.056)	0.07 (0.096)	0.05 (0.051)

This table documents the monthly abnormal returns, and their associated *t*-statistics in parentheses, associated with trading strategies controlling, as in Tables 10 and 11, for the three Fama-French factors (Fama and French 1993) and the Carhart (1997) momentum factor. Portfolios are constructed by first dividing all stocks in the same other provisions (O) category, 0–5, 6, 7–8, or 9–13, into six entrenchment index categories. The six entrenchment index buckets are entrenchment index scores of 0, 1, 2, 3, 4 and 5–6. A portfolio in a certain O index category is then constructed by calculating the equally weighted return of stocks with the desired O index category across the six entrenchment buckets. Within each bucket, the equally weighted and value-weighted returns of stocks in the same O category were calculated. The monthly abnormal returns associated with going long and short various portfolios was calculated for both the period of September 1990–December 1999 period and the longer period of September 1990–December 2003. The long and short portfolios were adjusted when updated information on firms' corporate governance provisions became available: July 1993; July 1995; February 1998; November 1999; and February 2002. Levels of significance are indicated by *, **, and *** for 10%, 5%, and 1%, respectively.

Table 12: O-index abnormal returns after controlling for E-index distribution.

6.8 Table 12 and Appendix: O-index returns and provision definitions

Read Table 12:

- Table 12 asks whether the O index predicts abnormal returns after controlling for E-index buckets.
- None of the reported O-index long-short strategies is statistically significant.
- The coefficients are small and sometimes negative.

Read Appendix:

- The appendix defines the E-index provisions and the O-index provisions.
- The E-index definitions clarify that the index combines shareholder-voting restrictions and takeover-readiness provisions.
- The appendix also illustrates why the O index is a heterogeneous residual category rather than a unified entrenchment construct.

Economic message: After the E index is taken into account, the remaining provisions do not explain the abnormal-return pattern. The appendix confirms the conceptual difference between the two groups of provisions.

Appendix: IRRC Definitions of the Twenty-Four Provisions

E index provisions

Staggered board: a board in which directors are divided into separate classes (typically three) with each class being elected to overlapping terms.

Limitation on amending bylaws: a provision limiting shareholders' ability through majority vote to amend the corporate bylaws.

Limitation on amending the charter: a provision limiting shareholders' ability through majority vote to amend the corporate charter.

Supermajority to approve a merger: a requirement that requires more than a majority of shareholders to approve a merger.

Golden parachute: a severance agreement that provides benefits to management/board members in the event of firing, demotion, or resignation following a change in control.

Poison pill: a shareholder right that is triggered in the event of an unauthorized change in control that typically renders the target company financially unattractive or dilutes the voting power of the acquirer.

O index provisions

Limitation on special meeting: a provision limiting shareholders' ability to act by calling a special meeting (as opposed to waiting for the regularly scheduled shareholders' meeting).

Limitation on written consent: a provision limiting shareholders' ability to act via written consent (as opposed to acting through a vote at the shareholders' meeting).

Elimination of cumulative voting: a provision eliminating shareholders' ability to apportion their votes in an election.

Secret ballot: a system of voting that ensures management does not look at individual proxy cards.

Director indemnification: a charter or bylaw provision indemnifying the firm's officers and directors against certain legal expenses and judgments as a result of their conduct.

Director indemnification contract: a contract with individual officers and directors promising indemnification against certain legal expenses and judgments as a result of their conduct.

Limited director liability: a provision that limits the personal liability of its directors.

Compensation plan: a plan that accelerates benefits in the event of a change in control.

Severance agreement: a contract which ensures executives some income protection in the event of losing their positions.

Unequal voting rights: a provision by which voting power changes based on certain conditions.

Blank check preferred stock: this is stock that, when authorized, gives the board broad discretion in establishing the stock's voting, dividend, and other rights when issued.

Fair price requirements: a requirement that a bidder pays all shareholders a "fair price," typically the highest price paid by a bidder prior to a tender offer being made.

Cash-out law: a provision that enables shareholders to sell to a controlling shareholder, usually at the highest price recently paid by the controlling shareholder.

Director duties: a provision that permits the board to consider nonshareholder interests in evaluating a possible change in control.

Business combination law: a law that limits the ability of an acquirer to conduct certain transactions with the acquired company postacquisition.

Antigreenmail provision: a provision that prevents an entity from acquiring a block of stock in a company and selling it back to the company at an above-market price.

Pension parachute: provisions that limit the ability of an acquirer from using surplus money in a pension plan to fund the acquisition.

Silver parachute: a severance agreement that provides benefits to a large number of firm employees in the event of firing, demotion, or resignation following a change in control.

Appendix, part 2: Continued IRRC definitions of O-index provisions.

Appendix, part 1: IRRC definitions of the E-index provisions and initial O-index provisions.

7 Short summary

- The paper asks which governance provisions in the twenty-four-provision IRRC/GIM index actually matter.
- It proposes a six-provision entrenchment index: staggered boards, limits to bylaw amendments, limits to charter amendments, supermajority merger requirements, poison pills, and golden parachutes.
- The remaining eighteen provisions form the O index.
- Higher E-index scores are monotonically associated with lower Tobin's Q .
- The negative valuation relation remains in firm fixed effects and in tests using 1990 entrenchment to predict 1998–2002 valuation.
- Each of the six E-index provisions is negatively associated with firm value in the individual-provision tests.
- The O-index provisions do not show a consistent negative relation with firm value.
- Firms with low E-index scores earn higher abnormal returns than firms with high E-index scores during 1990–1999 and 1990–2003.
- O-index return strategies do not generate meaningful abnormal returns once the E-index distribution is controlled for.
- The paper's main message is that a small set of governance provisions drives the governance-performance relation.

8 Conclusion

8.1 Core conclusion

Bebchuk, Cohen, and Ferrell show that not all governance provisions are equally important. Among the twenty-four IRRC provisions used in the GIM index, six entrenching provisions largely drive the negative relation between governance restrictions and both firm valuation and abnormal returns.

8.2 Economic intuition

The six E-index provisions are important because they protect incumbent managers from shareholder pressure and control challenges. Some limit shareholder voting power directly, while others make hostile takeovers more difficult or less costly for managers personally. These provisions can reduce discipline, preserve inefficient management, and help low-value firms remain low-value.

8.3 Incremental contribution revisited

The paper turns a broad governance checklist into a more focused measure of managerial entrenchment. This is useful because the original GIM index gives equal weight to many provisions that do not appear to matter for valuation or returns. The E index provides a sharper empirical proxy for the governance dimension most relevant to shareholder value.

8.4 Implications

For researchers, the paper suggests that the E index may be preferable to broad governance indexes when studying shareholder rights and managerial entrenchment. For investors and governance advisers, the message is that attention should focus on a few high-impact provisions rather than on a long list of governance attributes. For policy discussions, the paper warns that broad governance ratings can encourage firms to change immaterial provisions while leaving important entrenchment mechanisms untouched.

8.5 Limitations

The evidence is not a randomized experiment. Low-value firms may choose entrenching provisions, and entrenching provisions may also help keep firms low-value. The paper's timing and fixed-effects tests help address this concern but do not fully settle causality. The return evidence also has multiple possible interpretations, including market learning, omitted risk factors, or other pricing mechanisms.

8.6 Takeaway

The enduring takeaway is that governance quality is not about counting every provision. In this paper, what matters is a small set of provisions that entrench managers by restricting shareholder power and takeover discipline. The E index is powerful because it separates this signal from the noise in broader governance checklists.